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Research Proposal

The impact of risk sharing financing on the financial performance of Islamic banks. A comparative study of Malaysia and GCC countries. (2015- 2025)

MRes Islamic Economics and Finance
MRS7015 Dissertation
Student Name: [Your Name]
Submission Date: August 2026

1. Introduction

Background

The Islamic banking has grown rapidly, with assets now exceeding USD 3 trillion in more than 80 countries (Islamic Financial Services Board, 2024). The industry claim to be different from conventional banking because of risk sharing banking. Conventional banks shift all risk to borrowers using fixed interest rates, Islamic banks are expected to share profits and losses with clients, aiming for fairer financial intermediation (Askari, Iqbal, & Mirakhor, 2015). This gap between theory and practice is what motivated my research.

Malaysia and the GCC are the two biggest Islamic banking hubs. Malaysia has a dual banking system with strong oversight from Bank Negara Malaysia. The GCC countries have the largest asset volumes, supported by oil wealth and government-backed Islamic banks (Hassan & Lewis, 2022) but shows uneven regulation across countries.

I chose the period 2015-2025 because it covers, Basel III liquidity implementation, the COVID-19 pandemic (2020-2022), fluctuation in oil prices, and Malaysia regulatory changes under the Islamic Financial Services Act 2013. These changes create a useful setting to study whether risk-sharing financing has helped or limited the financial performance of Islamic banks in these different environments.

Problem

Islamic economic theory strongly supports risk sharing and by modern Islamic economic theory, but there is a significant gap. In Malaysia and the GCC, the vast majority of Islamic banks are more inclined to the use of contracts of indebtedness, as *mudarabah* and *musharakah* constitute less than 20% of total Islamic banking financing in many cases (Mokhtar, Abdullah, & Alhabshi, 2023). This raises an important question: although risk sharing, in theory, is desirable, why is it not widely adopted and how does it impact bank performance?

Till now, there are several studies that have focused on Islamic bank profitability and stability alone, but there are limited studies that have focused on the impact of the ratio of risk sharing financing on financial performance and stability in Islamic banks in Malaysia and the GCC. However, regulation, economies and market maturity differ across these regions, which has led to mixed evidence on how risk-sharing might play out in different contexts, and there is relatively little research on this. I want to fill this gap by measuring how the share of risk-sharing financing effects ROA, ROE and cost to income ratio

Aim

My aim is to examine how risk sharing effects the financial performance of Islamic banks in Malaysia and GCC countries from 2015 to 2025 . It will also look at whether institutional and economic factors influence this relationship.

Objective

The specific objectives of this research are as follows:

1. To critically evaluate the theoretical and empirical literature on risk-sharing financing and Islamic bank performance.
2. To monitor the trend and track of risk sharing financing (mudarabah, musharakah and diminishing musharakah) of Islamic banks in Malaysia and GCC between 2015 and 2025.
3. Use of panel data regression to empirically investigate the effect of risk-sharing financing ratios on financial performance measures (ROA, ROE, cost-to-income ratio).
4. To compare the magnitude and direction of this effect between Malaysian and GCC Islamic banks.
5. To assess the moderating roles of regulatory environment, economic diversification, and macroeconomic volatility on the risk-sharing–performance nexus.

Questions

My research questions are:

1. What are the current theories regarding the theoretical expectations and empirical evidence on risk-sharing financing in Islamic banking?.
2. What is the trend in Islamic banks' risk-sharing financing composition for Malaysian and GCC banks between 2015 and 2025?
3. To what extent does the risk sharing financing ratio affects the ROA,ROE and CIR using panel data regression
4. What are the differences between the effect of risk-sharing financing on the performance of Islamic banks of Malaysia and the Islamic banks of GCC countries?
5. What is the effect of regulatory framework and macroeconomic conditions on the relationship between risk-sharing financing and bank performance?

Importance of Research

This study adds to knowledge in three ways. First, it tests whether Islamic banks that use more mudarabah and musharakah financing have better or worse financial results than those that rely on debt-based products. Second, it offers the first detailed panel data comparison of Malaysia and the GCC, focusing on risk-sharing ratios as the main variable, which fills a clear gap in the literature. Third, the results will help regulators,

bank managers, and shariah boards decide if moving toward real risk-sharing business models is possible without hurting commercial success.

2. Literature Review

Evidence

I used three theories to frame this study. First, Agency Theory (Jensen & Meckling, 1976) helps explain the risks of the contracts, for which the bank (rabb al-mal) would face in setting up a mudarabah, which are linked to the lack of information shared between the bank and the entrepreneur (mudarib). Second, in the Islamic context, theoretically, risk sharing contracts should be more helpful in the bank's role of linking the return with real economic productivity, rather than fixed debt service, as outlined in Financial Intermediation Theory (FI Theory) (Mirakhor & Krichene, 2023). Third, according to Institutional Theory (North 1990), the effectiveness of risk-sharing contracts depends on the degree of enforcement of the law, accounting transparency and regulatory support; which varies significantly between the codified Islamic finance framework in Malaysia and the fragmented regulatory regime in the GCC.

When analyzing Islamic banks in the GCC countries, Srairi (2021) found that banks having higher percentage of mudarabah financing have less ROA as because of high monitoring cost and default risk that is inherent in the nature of profit sharing financing. Islamic banks, on the other hand, that diversified in their funding sources, such as those with a high proportion of musharakah, were more resilient to the 2008-2009 financial crisis, even if their return on investment was less in comparison to other Islamic banks in Malaysia.

In a cross-country study, Chong and Liu (2022) showed that the 'debt-like' nature of the most popular Islamic banking products influences the uniqueness of the Islamic banking industry. What they have discovered is that if bank-specific controls are added then any performance distinction between high-risk-sharing and low-risk-sharing banks may be small and of a statistical nature only. Their study was not only limited to Malaysia compared to the GCC but it also did not consider the post-2015 regulatory environment. Mokhtar, Abdullah and Alhabshi only analyzed Islamic Banks in Malaysia and found that the reason for dominance of murabahah is due to the risk aversion of the depositors and the limitation of operating the Banks due to the capital adequacy requirements which inadvertently penalize profit sharing assets.

Islamic banking is well established in Malaysia, and there exists a legal framework and a shariah governance framework set up by Bank Negara Malaysia (Ibrahim & Kamarudin, 2021) which has tax neutrality for Islamic financial instruments. Islamic financial regulations also differ between the GCC countries, with Bahrain and UAE having more sophisticated Islamic financial regulations and other countries are still in the process of introducing consolidated frameworks. In fact, based on the institutional distinctions, risk-sharing financing might be more influential on performance in jurisdictions that provide more creditor protection and disclosure.

While much study has been done on Islamic bank performance, there are three important gaps: (i) studies that utilize risk-sharing financing ratios, instead of a composite financing mix, are not widely found; (ii) comparative studies between Malaysia and the GCC are limited in number, and those that exist do not control for institutional heterogeneity; (iii) the post-2015 period, which includes the adjustment to Basel III and the impact of the pandemic on stress, has largely been under-examined. The present study fills these important voids

3. Methodology

Proposed Methodology

A positivist approach was used in this research, which falls under the deductive hypothesis testing method appropriate for the research questions (Saunders, Lewis, and Thornhill, 2019). The authors view the financial performance measures (ROA, ROE, CIR) as a reality which is objective and measurable, and can be quantified and compared between banks and over time. The causal relationship between risk-sharing financing and performance is hypothesized, and tested empirically using statistical methods.

This study utilizes a comparative panel data design, a quantitative method which combines cross sectional (bank-level) and time series (annual, 2015-2025) observations. This design is most suitable for studying the impact of risk-sharing financing ratios on financial performance, taking into account the unobserved heterogeneity effects, either by using fixed-effects or random-effects models (Baltagi, 2021). The comparative dimension enables analysis of the countries in different regions (Malaysia vs. GCC) and also enables a trend analysis within the region (Malaysia) over the eleven year period.

Only secondary quantitative data from published financial statements, Bloomberg, Orbis Bank Focus and central bank statistical databases are used in the research. No primary qualitative information (interviews, surveys, or case studies) are gathered. The statistical results, however, are discussed in the light of the context (Chapter 5) and in the light of the Institutional Theory of why the magnitude and direction of effects varies between the different regulatory environments. This is not a change of research design from a quantitative to an interpretive type, but rather a means of interpreting the quantitative nature of the research design, as numerical results will be understood in their real world institutional contexts

Philosophy

The research is based on pragmatism. This approach is chosen because the study aims to find out what works best for risk-sharing financing and performance, while recognizing that different regulatory and cultural contexts shape how reality is understood.

Pragmatism allows the study to combine objective financial data with insights from institutional and regulatory analysis, giving a full picture of the topic.

Type of Data

Secondary quantitative data will be extracted from published financial statements (annual reports), Bloomberg, Bankscope (now Orbis Bank Focus), and central bank statistical databases. The datasets will cover all full-fledged Islamic banks and Islamic banking windows with separately reported Islamic operations in Malaysia and the GCC from 2015 to 2025.

Dependent Variables (Financial Performance):

- Return on Assets (ROA) = Net Income / Total Assets
- Return on Equity (ROE) = Net Income / Shareholders' Equity
- Cost-to-Income Ratio (CIR) = Operating Expenses / Operating Income

Independent variables:

The Risk-Sharing Financing Ratio (RSFR) is defined as $(\text{Mudarabah} + \text{Musharakah} + \text{Diminishing Musharakah}) / \text{Total Financing}$.

Control Variables:

- Bank Size (natural log of total assets)
- Capital Adequacy Ratio (CAR)
- Non-Performing Financing Ratio (NPF)
- Liquidity Ratio (liquid assets / total assets)
- Financing-to-Deposit Ratio (FDR)
- Operational Efficiency (overhead ratio)

Economic Factors:

- GDP Growth Rate
- Inflation Rate (CPI)
- Oil Price Volatility (for GCC)
- Regulatory Quality Index (World Bank Governance Indicators)

Sample

This sample has all Islamic banks in Malaysia that is nearer to 16 and the GCC that is around 42 Islamic banks. Banks missing data for fewer than five years in a row will be excluded to keep the panel reliable.

Analysis Techniques:

I will start with the descriptive statistics and correlation matrices to check for the multidisciplinary. Panel data regression will be employed using the following general model specification:

$$ROA_{it} = \alpha + \beta_1 RSFR_{it} + \beta_2 Controls_{it} + \beta_3 Macro_{jt} + \mu_i + \lambda_t + \varepsilon_{it}$$

Where i = bank, t = year, j = country, μ_i = bank-specific fixed effect, λ_t = time fixed effect. Hausman tests will determine whether fixed-effects or random-effects models are appropriate. Robust standard errors will correct for heteroskedasticity and autocorrelation. Interaction terms ($RSFR \times$ Region dummy) will test whether the impact of risk-sharing financing differs significantly between Malaysia and the GCC. Chow tests will formally assess structural differences between the two sub samples. Alternative performance measures (Tobin's Q, Z-score for stability) and Generalized Method of Moments (GMM) estimators will address endogeneity concerns.

Ethical Considerations:

This research only uses publicly available secondary data from regulated financial institutions, so there is little risk to people. Ethical steps include checking all financial data with at least two sources for accuracy, clearly documenting methods and variable definitions for reprehensibility, and reporting all findings honestly, including any null or negative results. The RE1 Ethics Form has been completed and attached.

Risks and Limitations:

The main risks are incomplete data, which will be managed by using several databases and interpolation; possible endogeneity between RSFR and performance, which will be handled with System GMM and instrumental variables; disruptions from COVID-19 and oil price shocks, which will be controlled using crisis dummies and sub-period analysis; differences among GCC countries, which will be managed by using both pooled and country-specific models; and limited variation in RSFR, which will be addressed with logarithmic transformations and quintile regression.

4. Expected Results

Gantt Chart

The following timeline outlines the research phases from proposal approval to viva defence:

Phase	Activity	Duration	Completion
1	Ethics approval and proposal finalization	August–Sep 2026	Sep 2026
2	detailed literature review and theoretical refinement	Sep–Nov 2026	November 2026

3	Data collection, cleaning, and panel construction	Nov 2026–Jan 2027	January 2027
4	Econometric analysis and interpretation	Jan–Mar 2027	March 2027
5	Drafting dissertation chapters	Mar–June 2027	June 2027
6	Reflection section, referencing, and formatting	June–Jul 2027	July 2027
7	Supervisor feedback integration and final submission	Jul–Nov 2027	Dec 2027
8	Viva preparation and presentation design	Nov–Dec 2027	Dec 2027

Expected Outcomes:

This research expects three possible results. First, if risk-sharing financing is linked to lower ROA and ROE, it would support the idea that regulations and cautious depositors make profit-sharing models less competitive. Second, if the relationship is positive or not significant, it would support the theory that risk-sharing works and suggest that performance differences are due to operational issues, not contract type. Third, if Malaysian banks show a stronger or less negative relationship than GCC banks, it would highlight that legal and regulatory systems are key to making risk-sharing finance work.

No matter what the results show, this study will offer evidence-based policy recommendations. These may include changes to how capital adequacy is treated for mudarabah and musharakah assets, designing deposit insurance for profit-sharing investment accounts, and making shariah governance standards more consistent across different countries.

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Declaration: I declare that this proposal has been developed with reference to the MRS7015 assessment brief. All sources consulted during the preparation of this proposal have been appropriately referenced. No generative artificial intelligence (GAI) tool has been used to generate content presented as original work; GAI tools, if any, were used solely for grammar checking and structural brainstorming, in accordance with Category B guidelines.